introspected. They laid out a ‘recovery strategy that had three distinct phases, each of which was intended to last for around two years—six years in all’. Ravi Kant, who became MD of Tata Motors in 2005, explained, ‘Phase one was intended to stem the bleeding … phase two was to be about consolidating our position in India, and phase three was to involve going outside India and expanding our operations internationally.’

TELCO also took recourse to outsourcing to focus on core activities, reduce costs and achieve better competitive advantage. It was a part of a broader strategy. ‘A major drive was initiated to reduce material costs. Every major component was value engineered. Prices for nearly all bought-out components were renegotiated with vendors,’ a case study revealed. Ratan also succeeded in fully automating the car plant in Pune and reducing the manpower from 37,000 to 24,000 during his tenure.

Along with the cost-reduction efforts, TELCO also addressed the issues faced by its commercial vehicles segment. The most impactful method it adopted was the Balanced Scorecard (BSC) system, a management tool that was outlined by Robert Kaplan and David Norton in the *Harvard Business Review* in 1992. In addition to financial performance, the tool provided strategic measures that would give a balanced view of the assessment of the performance of a company.

The BSC emphasized primarily on cause-and-effect linkages. With its introduction, ‘employees [who] previously looked inward and focused on the short term’ developed a ‘more holistic and longer-range perspective on the business’. Kant also began visiting the three plants of the company in Jamshedpur, Pune and Lucknow at least once a month, and interacting more closely with its workers, encouraging open-house discussions. Teams were ‘committed to monthly meetings, where they reviewed progress, prioritized objectives for strategic business units, and allocated resources to the most vital objectives and initiatives’. Ratan also visited Pune regularly, almost once a month, recalls Telang.

The BSC was so effectively implemented that in 2004, TELCO (which had now become Tata Motors) found a place in the Balanced Scorecard Collaborative Hall of Fame, sharing it with the City of Brisbane and Korean Telecom. The manner in which the CVBU implemented the programme also became a subject of two case studies at the Harvard Business School. A small movie was also made on it by mPower, a US-based software firm.